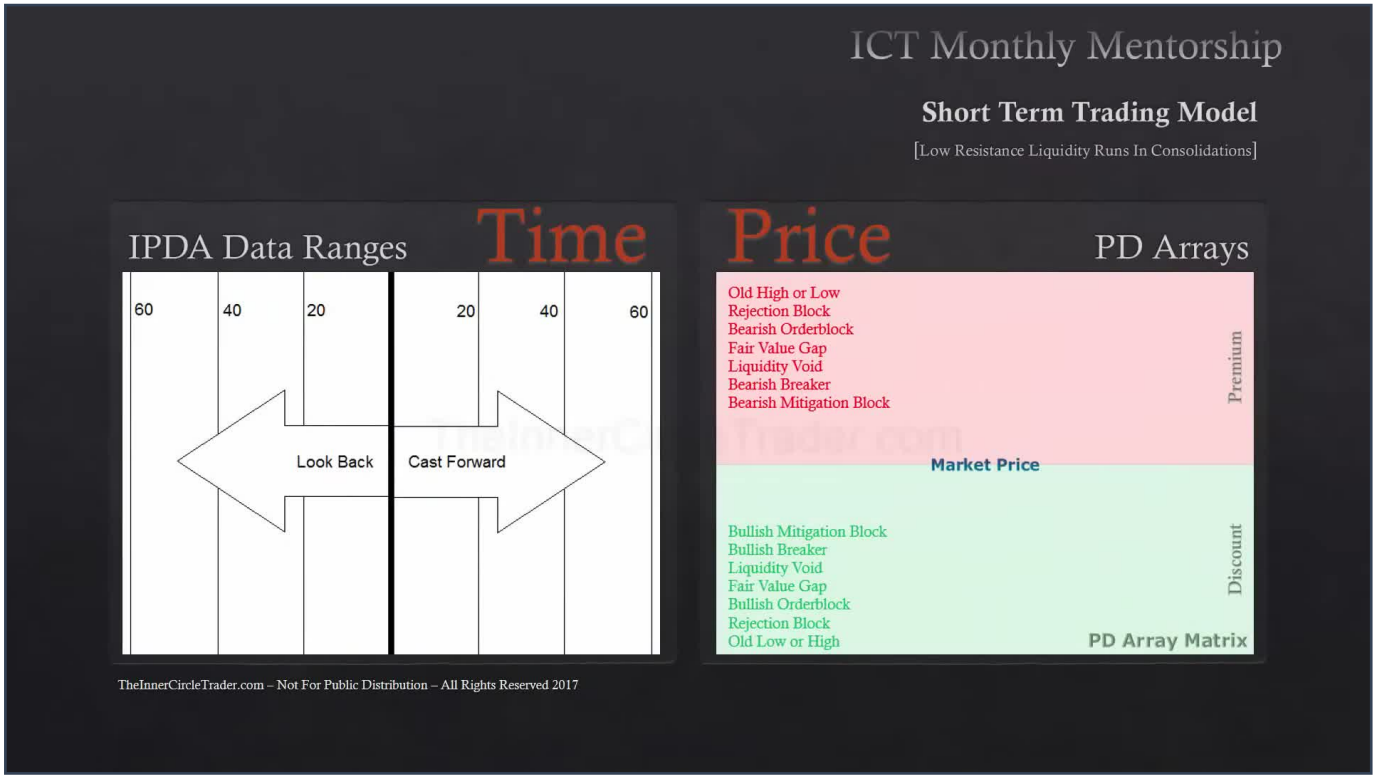
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 07 - SHORT TERM TRADING LOW RESISTANCE LIQUIDITY RUNS PART 1

This lesson focuses on short-term trading, specifically addressing low resistance liquidity runs and consolidations.



Every trading setup is predicated on time and price. The time element is related to the 'up-to-date ranges':

- Last 60 days

- Last 40 days

- Last 20 days

We concentrate on premium and discount PD (Price Delivery) arrays. For short-term trading, the look-back period is the last three months, specifically the 60-day up-to-date range. This period comprises all necessary elements to frame a short-term trade, or 'one-shot, one-kill' scenario.

PRICE MOVEMENT BETWEEN PREMIUM AND DISCOUNT

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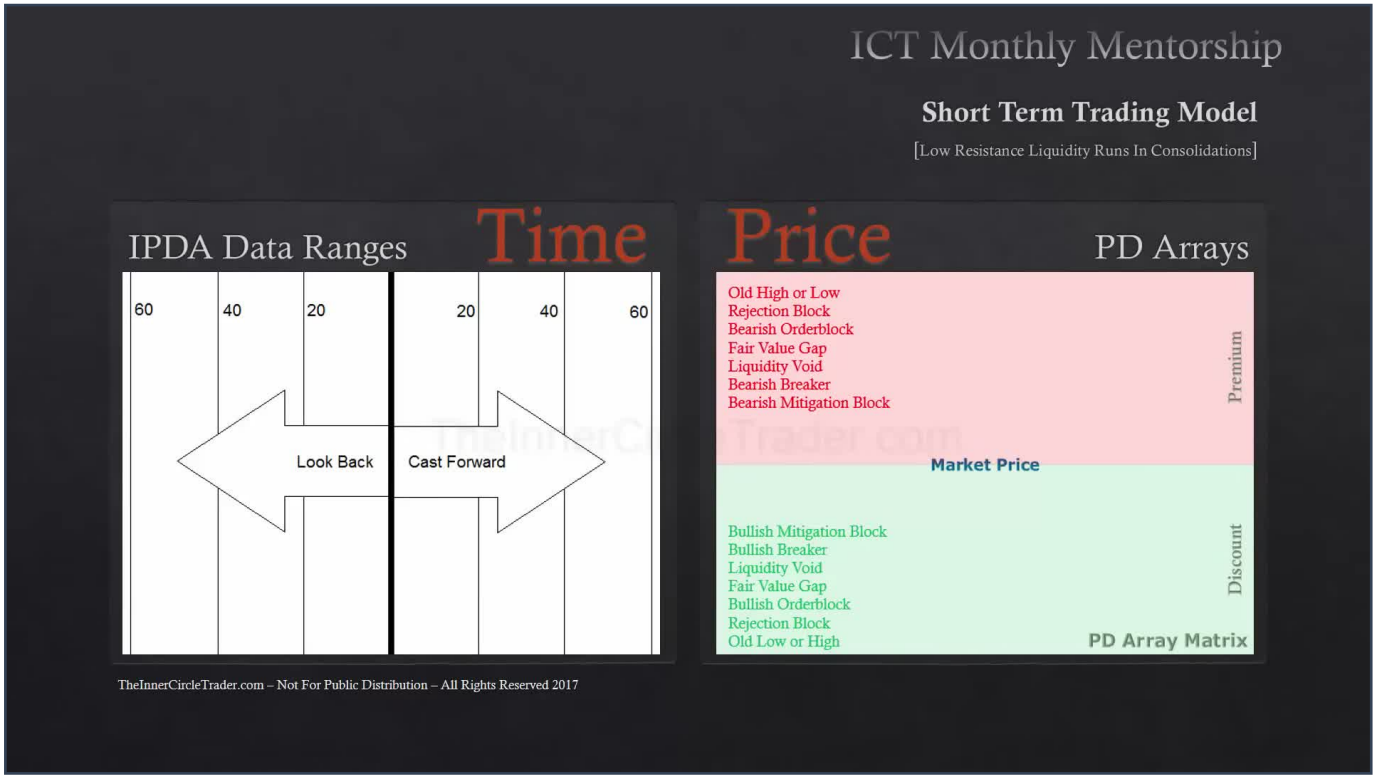

Price moves between a premium array and a discount array, or vice versa. Within these two realms, price will key off a time element linked to the up-to-date range. This approach blends both time and price elements (20, 40, and 60 days) with institutional reference points in the PD array Matrix.

CASE STUDY: BRITISH POUND USD (CABLE) - DAILY CHART ANALYSIS

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For this study, we are using the British Pound USD (Cable) on a daily chart. The first step is to define whether the market is trending or consolidating. In the case of the British Pound, the market has been in consolidation, not trending.

DEFINING THE CONSOLIDATION RANGE AND LOOK-BACK PERIOD

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When a market is range-bound and cannot move outside its current trading range on a daily chart, we frame this over approximately three months, or 60 trading days. This 60-day period is the relative 'up-to-date range' used for maximum look-back definition.

To define the range, we identify its highest and lowest candlestick bodies, not focusing on the wicks. We look for the highest and lowest open or close within the last 60 trading days to establish the defined consolidation range.

IDENTIFYING THE RANGE MIDPOINT (50%) USING FIBONACCI

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We use the Fibonacci tool, available on every platform, to determine the 50% midpoint of the defined consolidation range.

- Drag the Fib tool from the highest body candle (highest open or close) to the lowest body candle (lowest open or close) within the last 60 trading days.

- Do not use the highest or lowest wick.

- Note the 50% level and draw a horizontal line on the daily chart at this midpoint.

SUBDIVIDING THE RANGE: UPPER AND LOWER 50% LEVELS

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Next, we determine the 50% levels of the upper and lower halves of the main consolidation range:

- Above the main 50% level: This is our 'premium' area, where we look for sell scenarios or taking profit on long positions.

- Below the main 50% level: This is our 'discount' area, where we look for long positions or covering short positions.

1. Upper Range Subdivision: Measure with the Fib tool from the highest body close/open down to the main consolidation midpoint. Note its 50% level and draw a horizontal line.

2. Lower Range Subdivision: Measure with the Fib tool from the midpoint of the total consolidation range down to the lowest body close/open. Note its 50% level and draw a horizontal line.

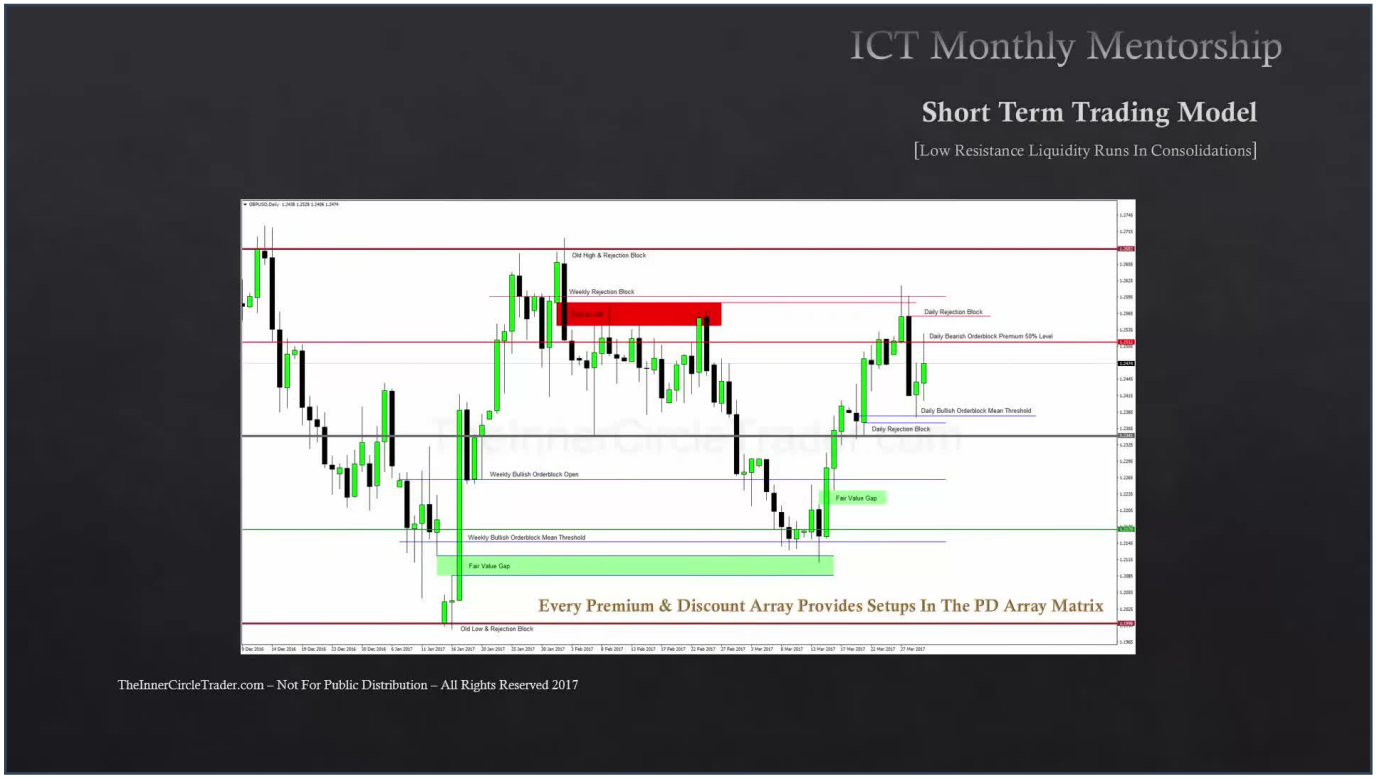
By defining the consolidation range in this manner, we create a clear identification of premium and discount zones:

- Anything above the main midpoint (50% level, often shaded gray) is considered a 'premium range'.

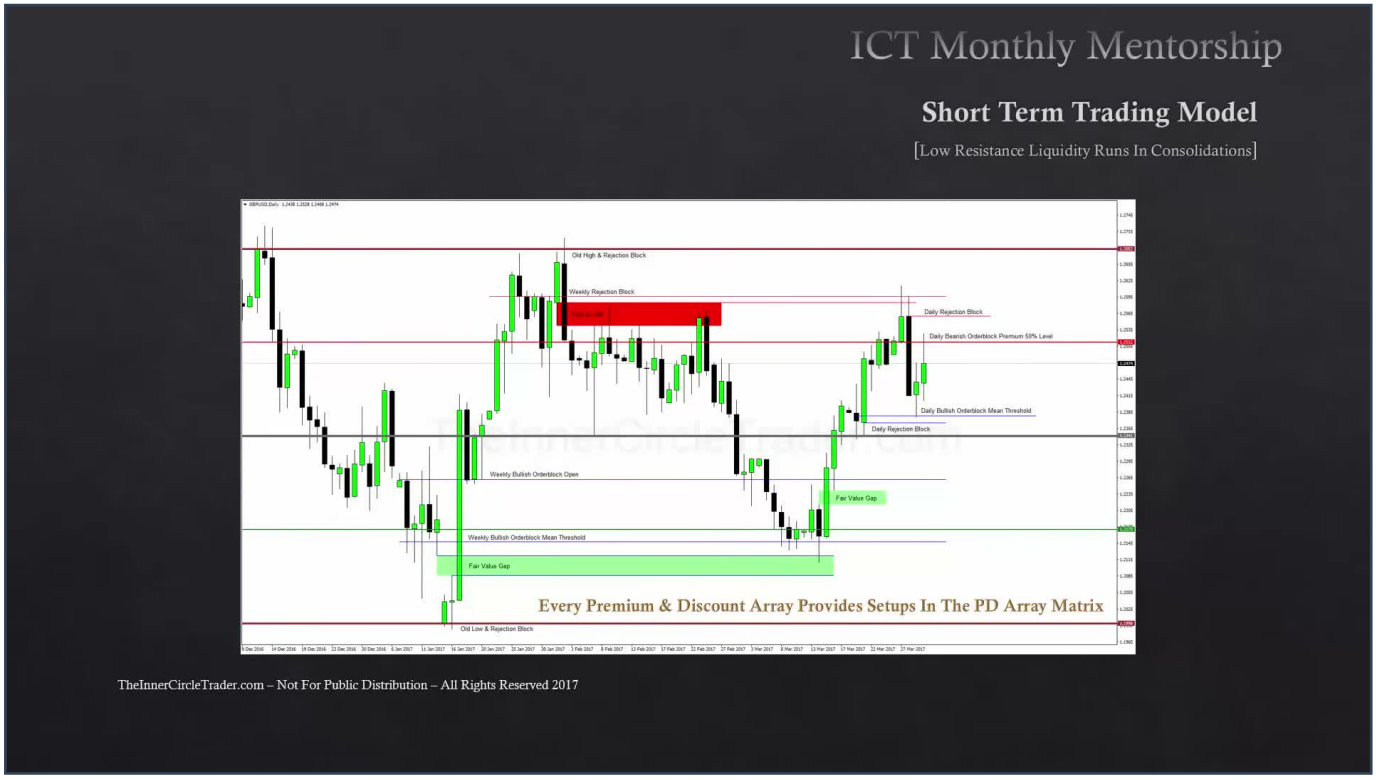
- Anything below the main midpoint is considered a 'discount range'.

We then identify PD arrays (Price Delivery arrays) within each newly defined range. This involves applying relevant monthly, weekly, and daily PD arrays to the chart.

Every premium and discount array provides setups within the overall PD array Matrix. We look for a blend of time and price to create a setup for a buy or a sell.



For short positions, the highest probability trades involve looking for any PD array in the premium range of the consolidation (anything above the main midpoint/50% gray level). These are ideal sell scenarios when coupled with a premium PD array.



We blend time and price, looking for a sell move to correlate to a later discount PD array. Price typically moves down to either:

- The 50% level of the total consolidation.

- Any level below the midpoint or 50% level of the consolidation.

Example: A fair value gap and bearish order block in the premium level (around February 2017) paired with a weekly bullish order block and threshold in a discount (in March 2017).

FURTHER QUADRANT DEFINITION FOR PREMIUM AND DISCOUNT

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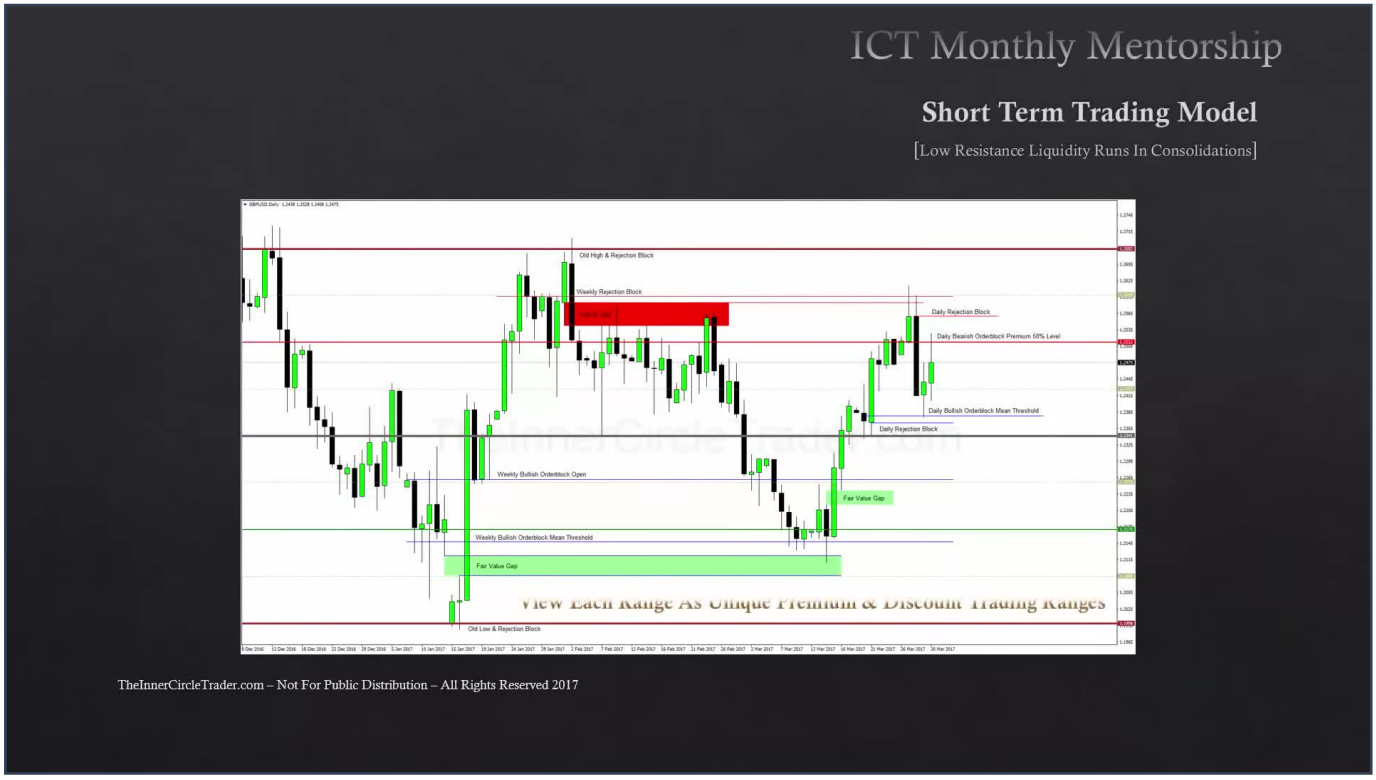
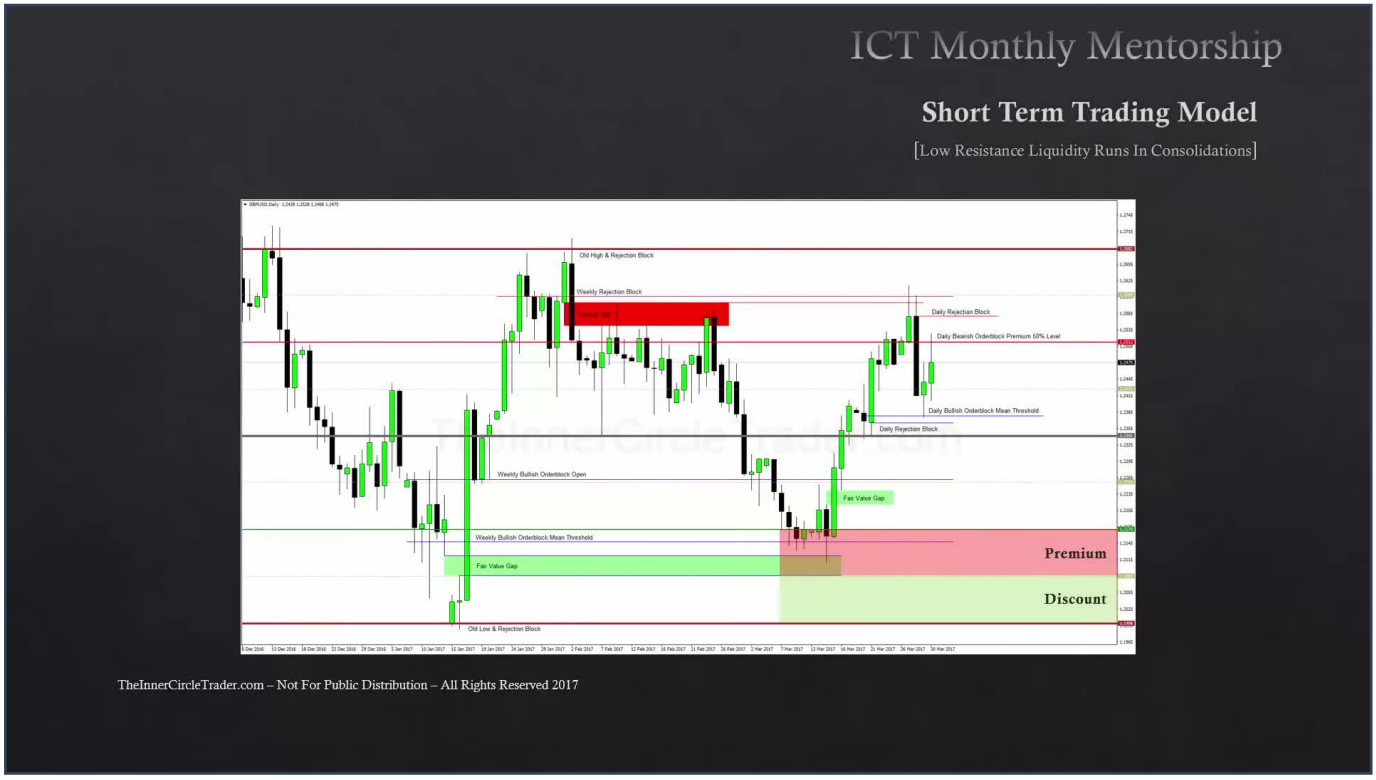


The initial premium and discount quadrants can be further subdivided into their own respective unique premium and discount trading ranges. This means dividing each quadrant into equal halves, which can then be viewed from a premium and discount format themselves.

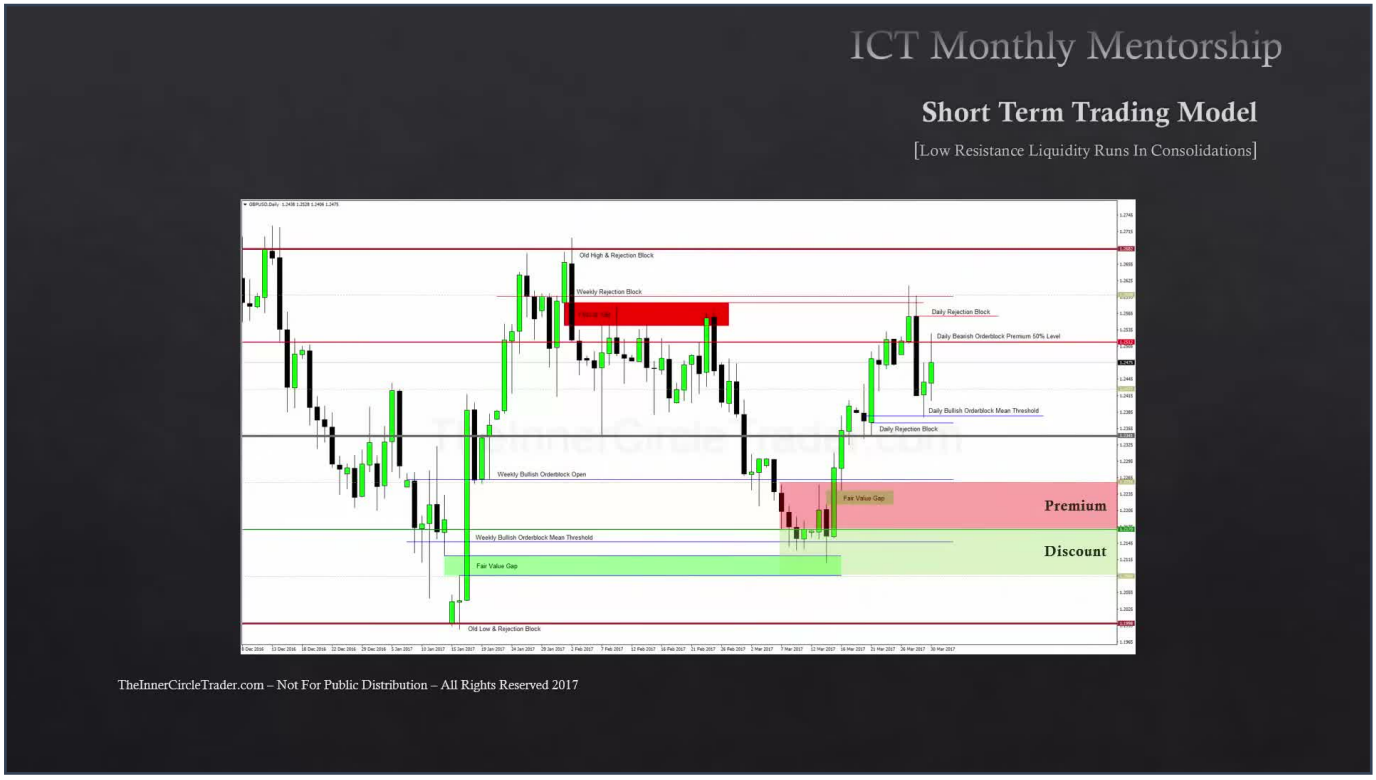


In the lower quadrant (discount range of the overall consolidation), when elements form as a discount PD array in a discount sub-range:

- These are high probability short covering objectives.

- They are also high probability new long positions.

- First profit on a long is best taken once price enters the premium range of this sub-PD array Matrix.



The same principle applies to the upper quadrants (premium range of the overall consolidation):

- Ideal long positions are entered at the discount level or in that discount sub-range.

- Taking first profit is best applied by exiting the long position in the premium range of this sub-PD array Matrix.

LOWER TIMEFRAME TARGETS FOR FIRST OBJECTIVES

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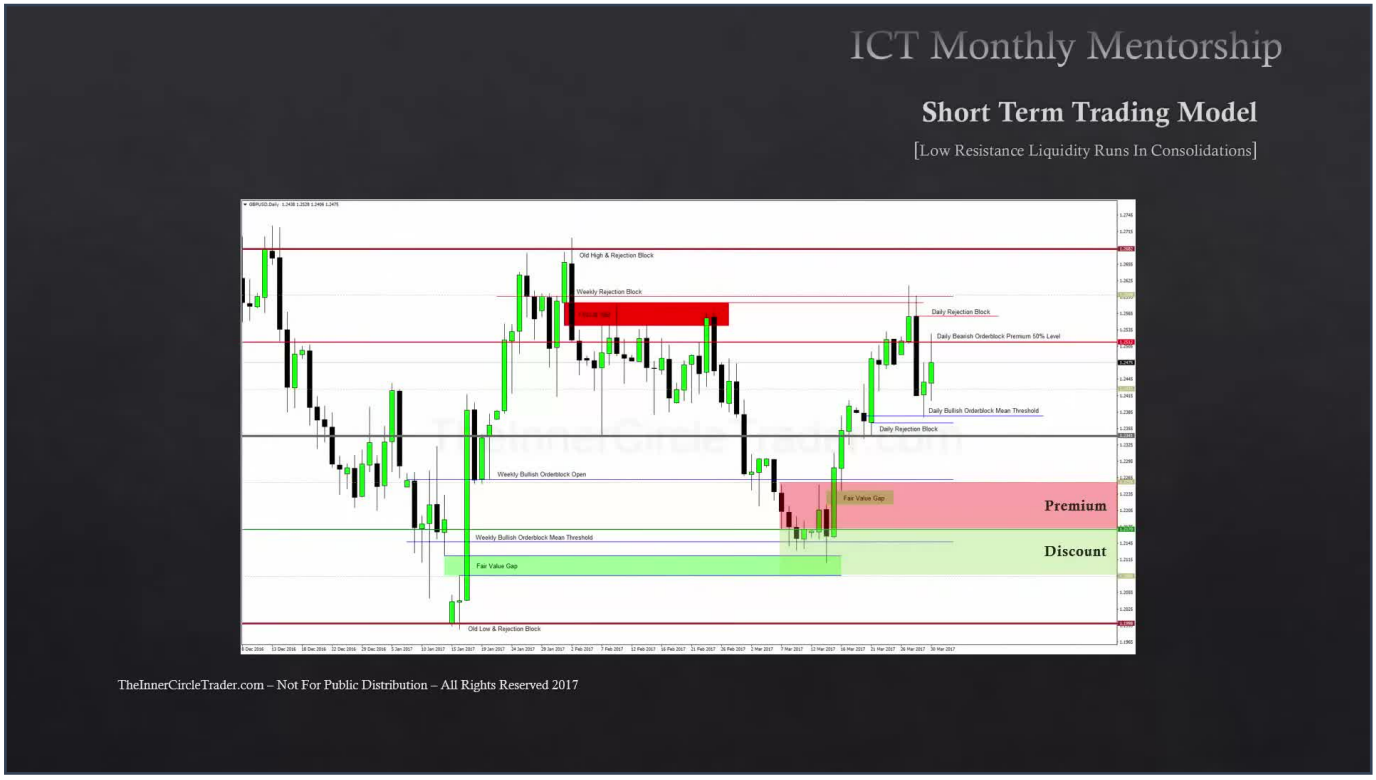
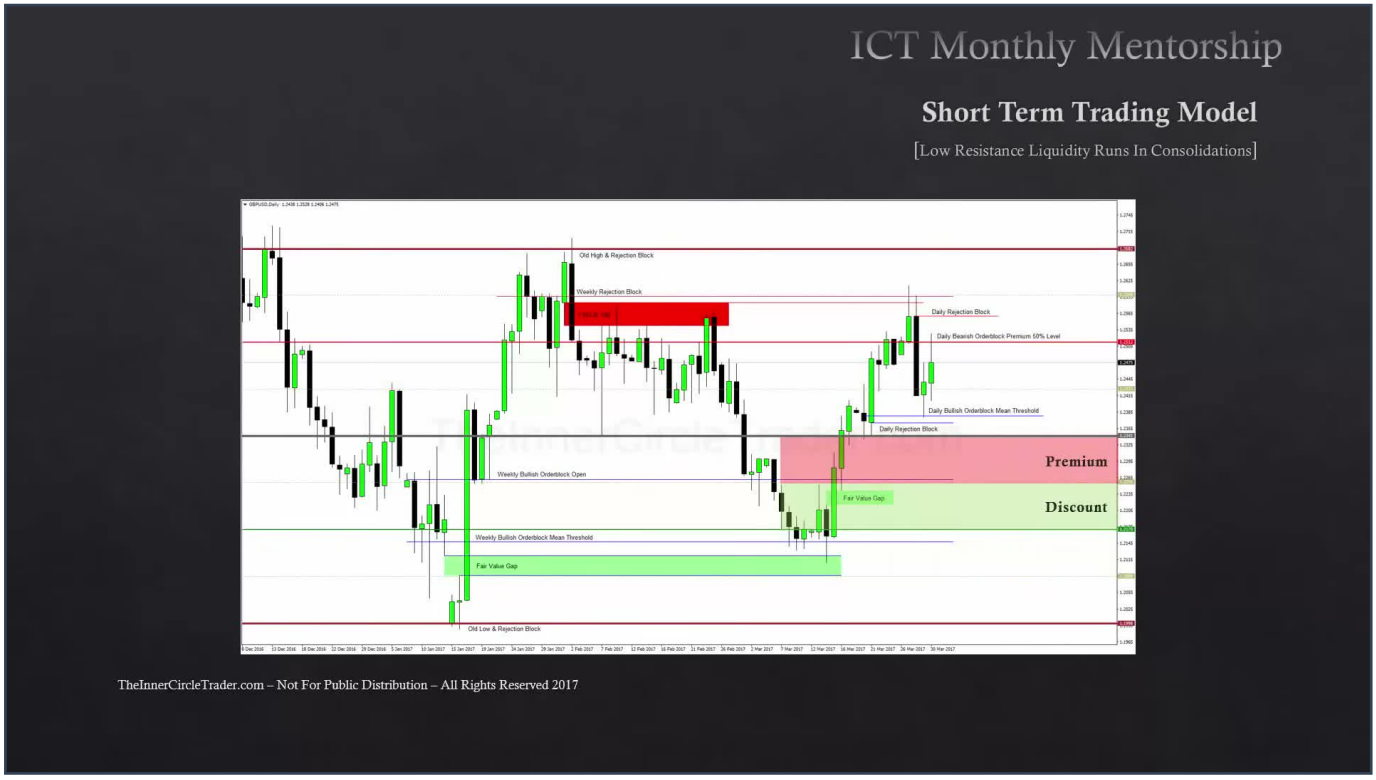
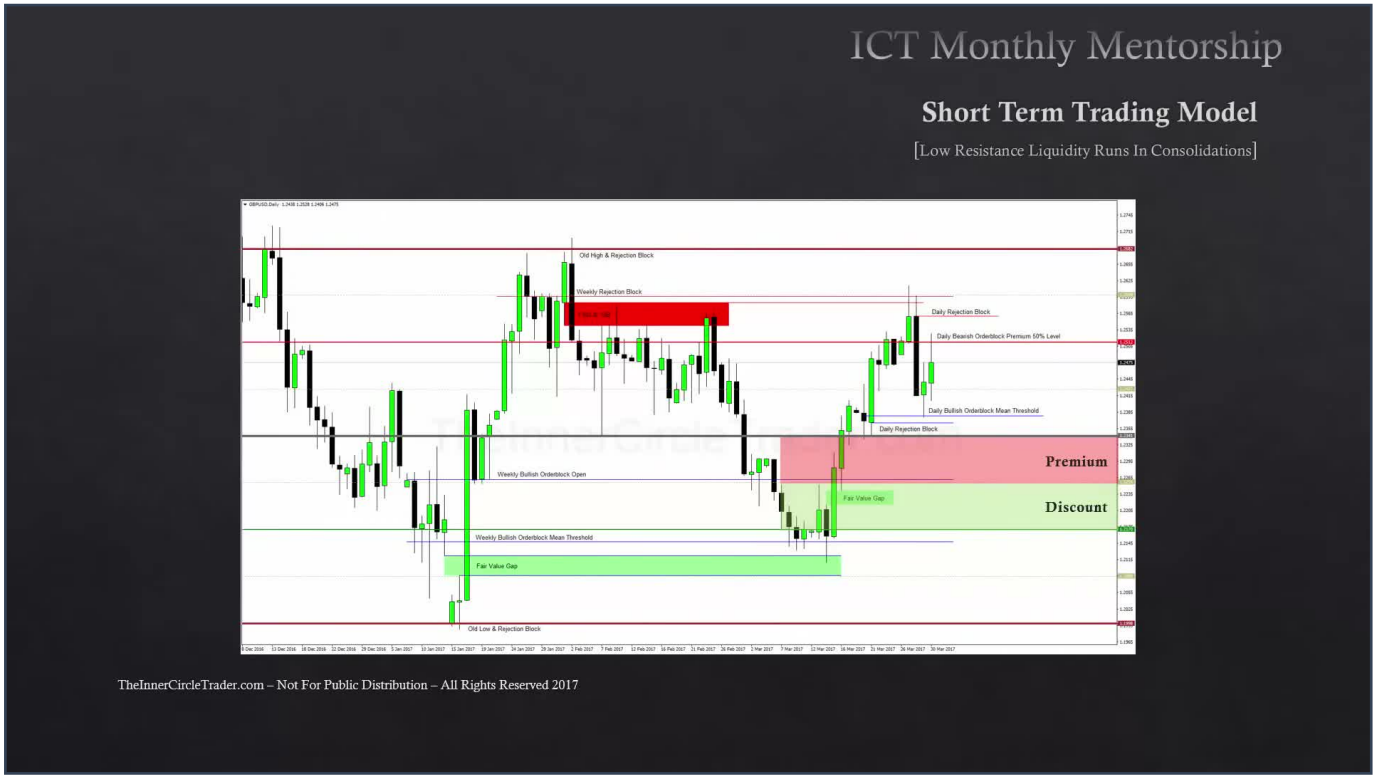


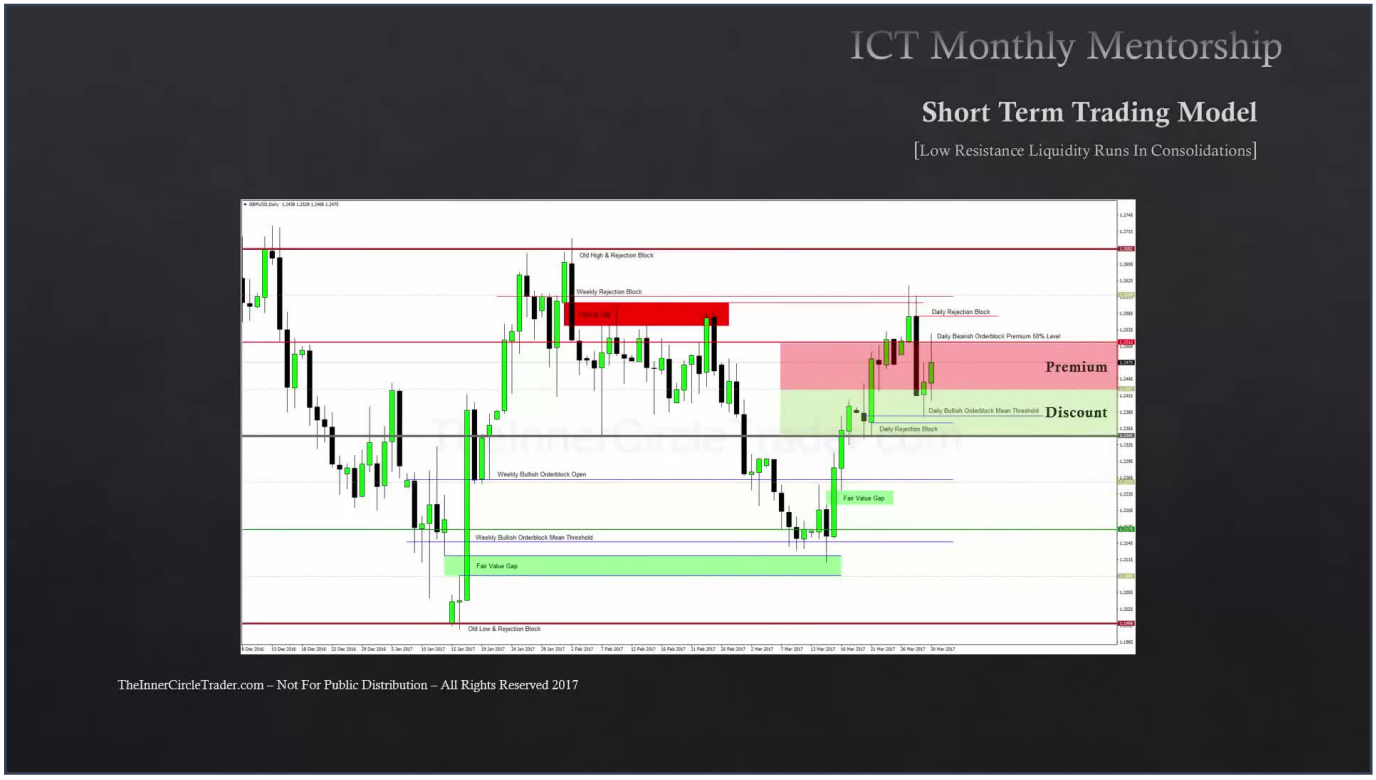
On lower timeframes like the 4-hour or 1-hour chart, you will find premium PD arrays. These can be paired with your daily analysis for first objectives and profit targets.



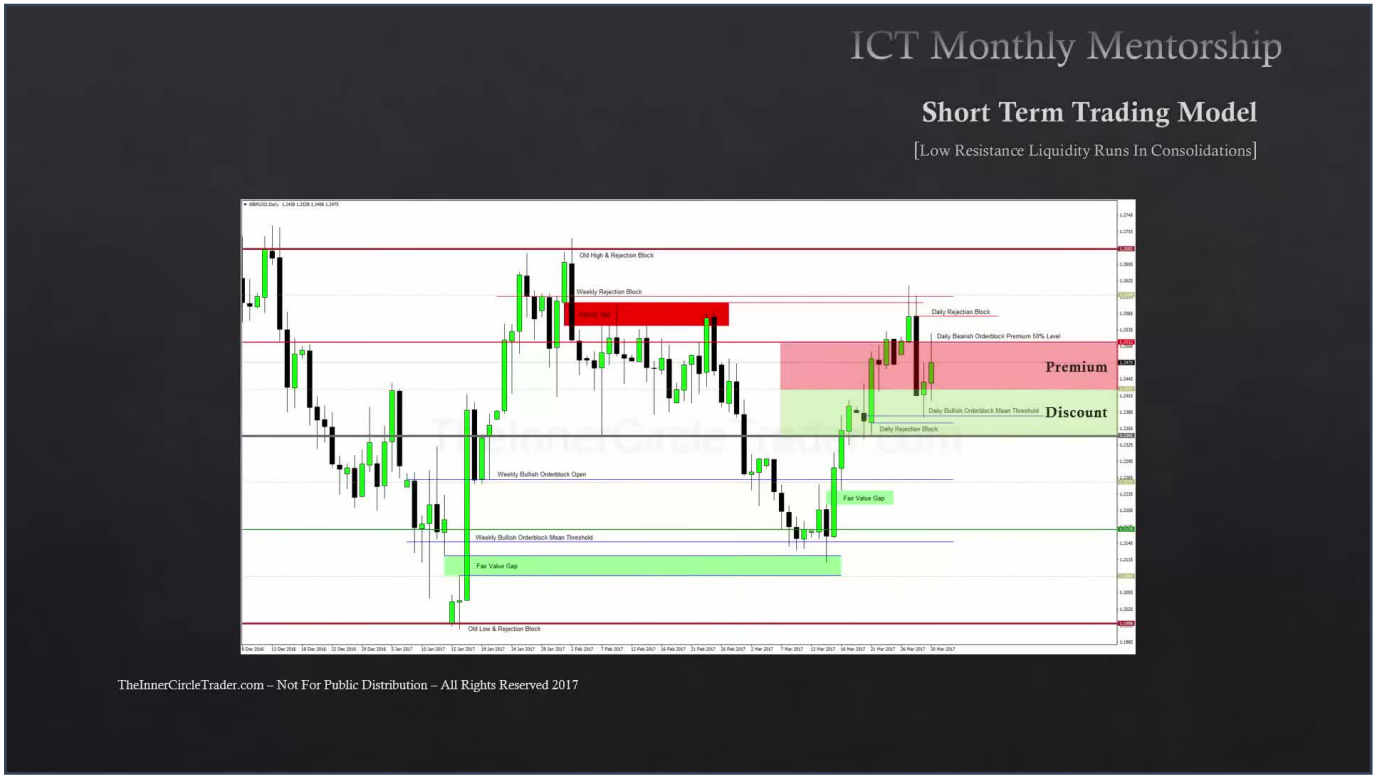
Each half of the overall range is further divided into new halves, defining premium and discount in an algorithmic way. When markets create discounts in these sub-ranges, they represent high probability long entries.



For longs, a 4-hour or 1-hour premium PD array (not visible on the daily chart) would be the first profit objective. This means you would drop down to a lower timeframe to identify these premium arrays for exiting longs that were entered by buying in the discount area.



Even when price is above the midpoint of the total consolidation range (technically in an overall premium market), longs are still possible. This is because the market is subdivided: if you're in a lower portion of that larger premium range (i.e., a discount within that premium sub-range), there is still room to reach for higher premium PD arrays. This means it's a 'discount market' in an 'overall premium market' that still has room to go up.

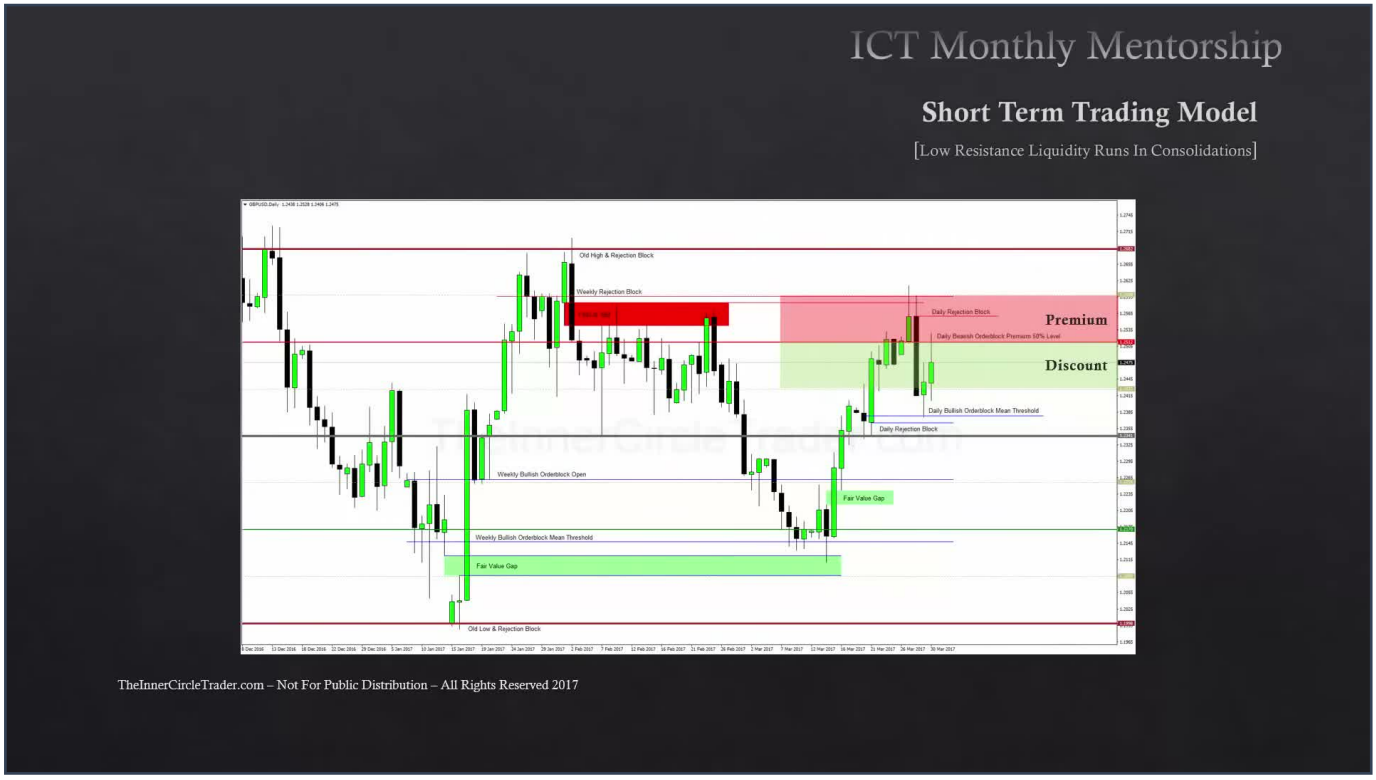


This method avoids the limitations of indicators for defining overbought/oversold conditions. By looking at price ranges algorithmically through quadrants, we gain a greater definition on how to frame entries and classify them:

- Oversold or undervalued entries: For long positions.

- Overvalued or overbought entries: For short positions.

Example: Buying at a daily bullish order block mean threshold and taking profit when price trades up into a 4-hour or 1-hour premium PD array in the premium range.



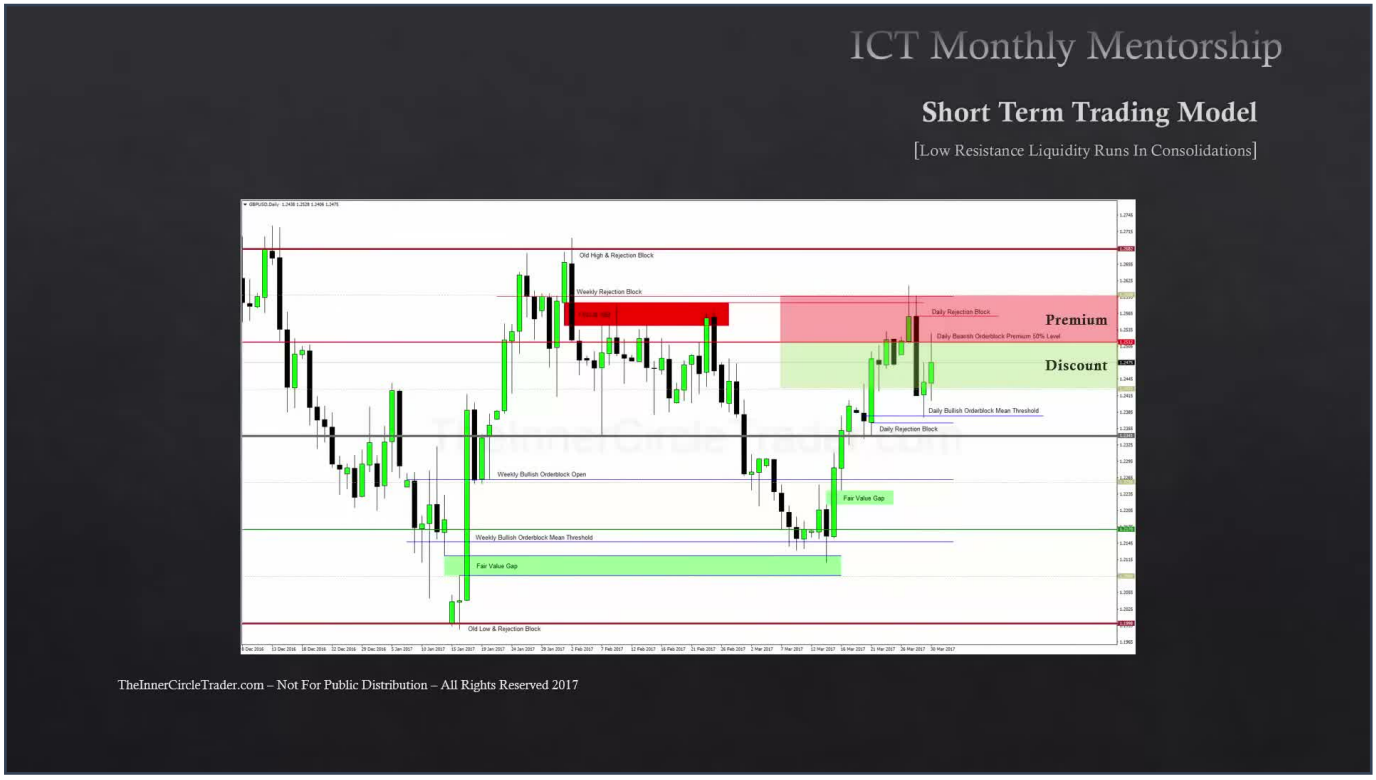
As we move further up the consolidation range, new discount and premium PD array matrices are defined. We are coupling the range definition (premium/discount) with actual PD arrays such as:

- Fair value gaps

- Bearish order blocks

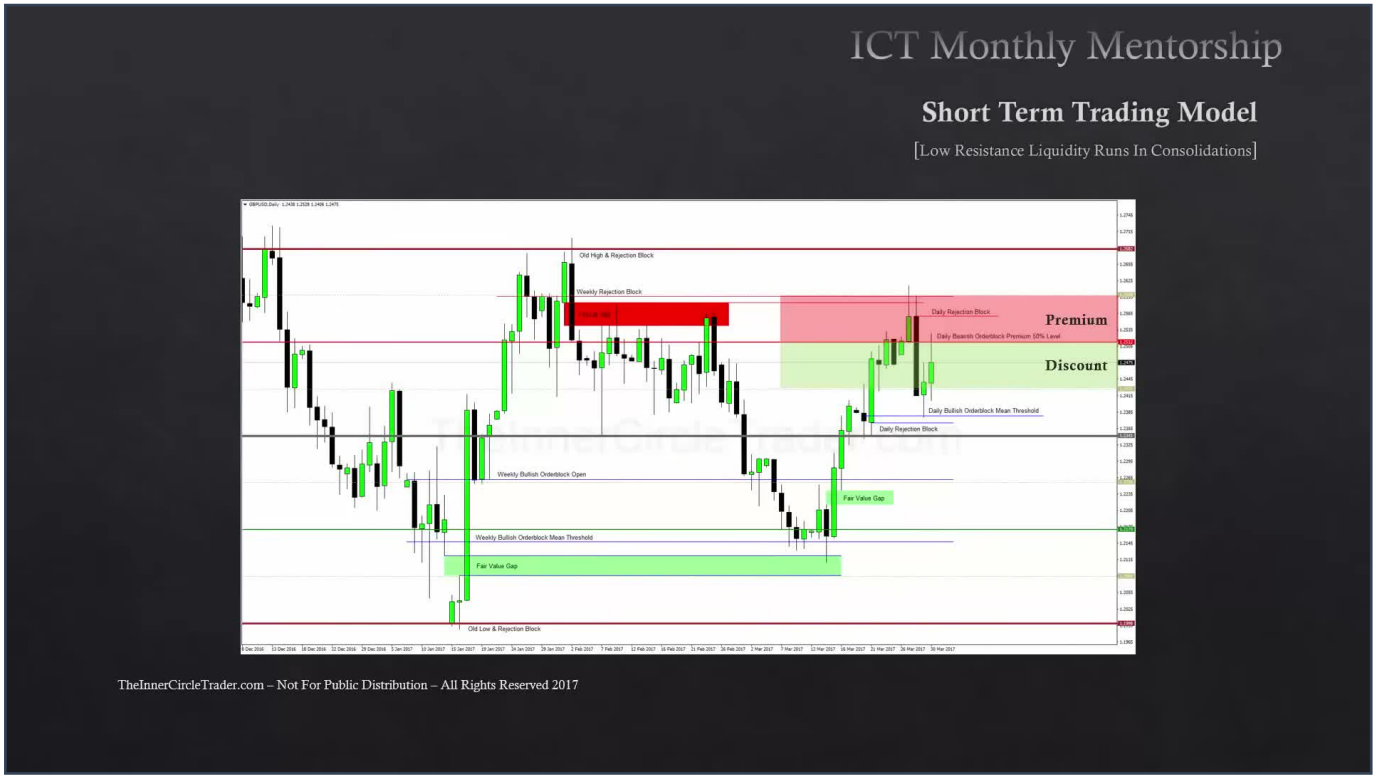
- Weekly rejection blocks

These elements are identified by looking back 20, 40, and 60 trading days for the 'up-to-date' range.



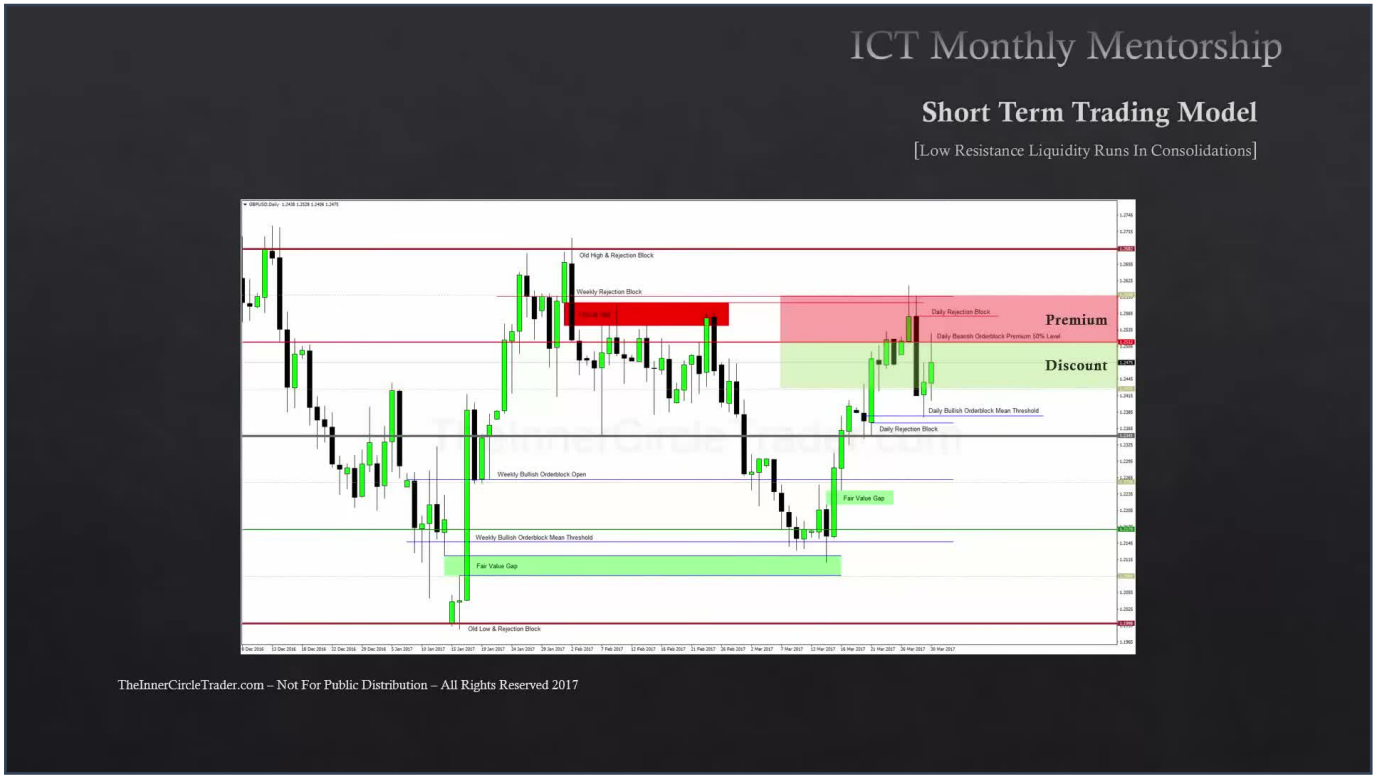
This approach blends time and price, viewing the market in terms of overbought/oversold, but not in the context of an indicator. Instead, it's an algorithmic perspective based on quadrants broken down into premium and discount.

By itself, a quadrant doesn't mean anything. However, when price trades into a PD array (discount or premium), whether it's a bullish order block, a breaker, or any other element from the PD array Matrix, it provides a high probability setup.

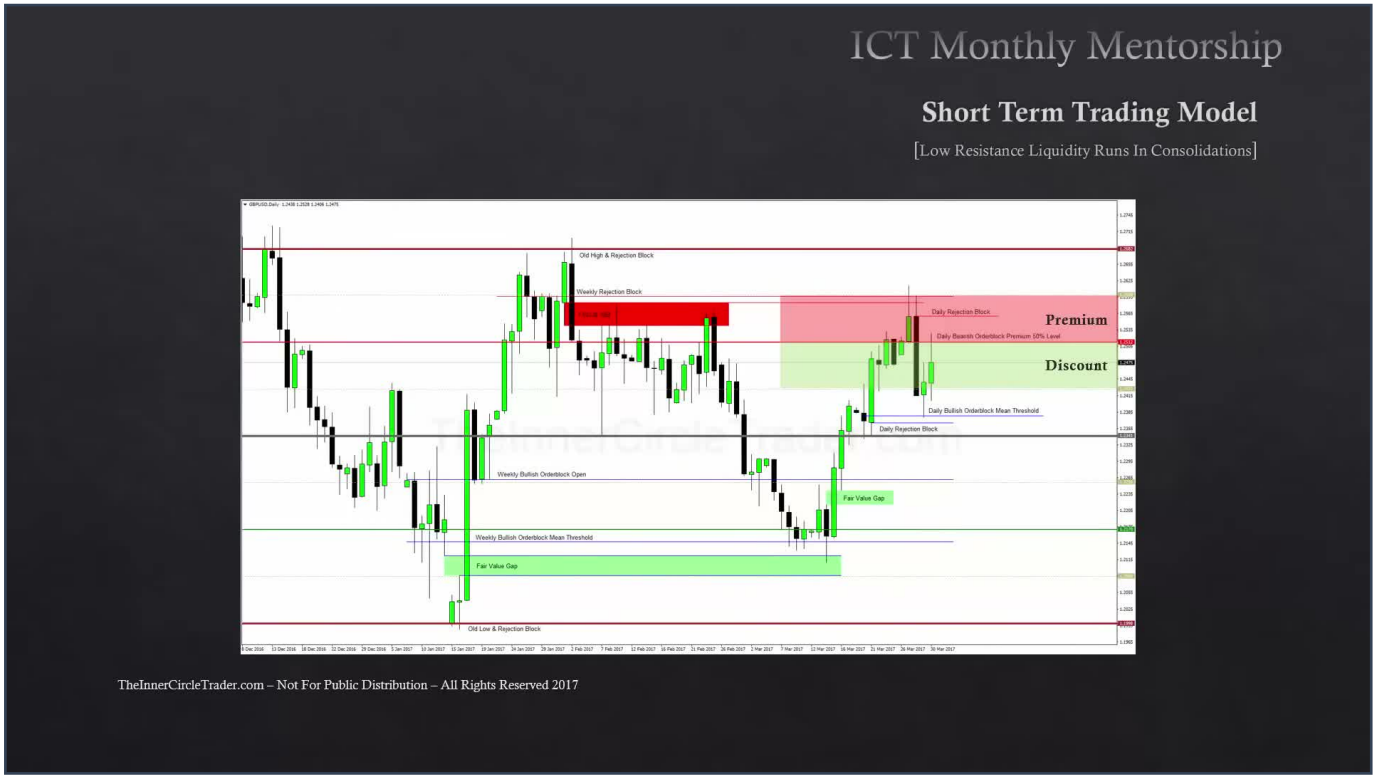


- Longs: Highest probable entries are in the discount range, coupled with a premium range PD array for exits.

- Anticipating Oscillation: In consolidation, price can oscillate, moving slightly outside the range before returning. This method anticipates this oscillation, finding smaller consolidations within the larger one, allowing for overbought/oversold analysis without indicators.



Even when in the upper half (premium portion) of a larger consolidation, an 'oversold condition' can be framed. This is a discount market within an overall premium market that still has room to move up. This defines entries for longs (undervalued) or shorts (overvalued).



For entries and exits, we look for elements that frame discount PD arrays:

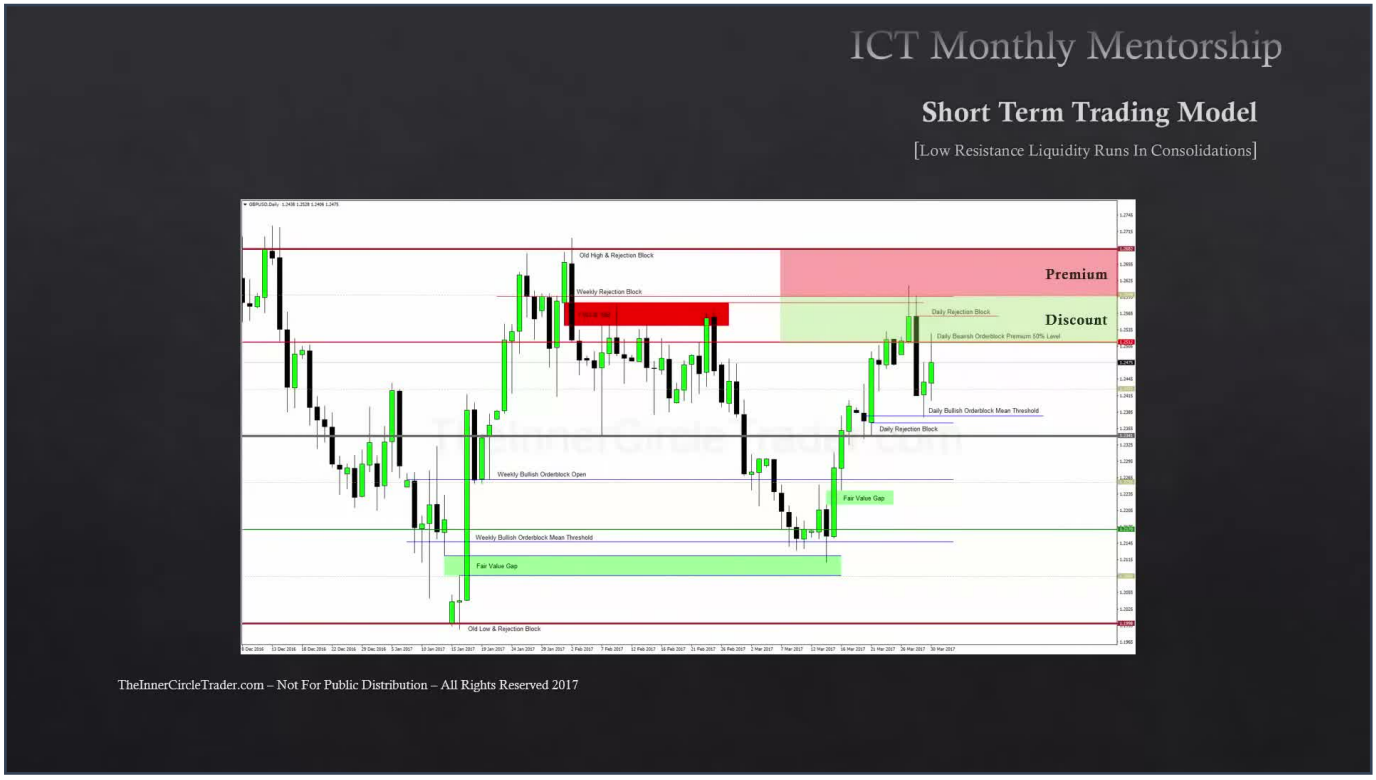
- Bullish order blocks

- Breakers

- Fair value gaps below price

- Price trading below an old low to take out sell stops

These ideas frame long positions. First profits are taken on a 4-hour or 1-hour basis once price enters a premium PD array Matrix range.



At the top of the larger consolidation, opportunities for buyers fall off significantly in terms of probabilities. In this highest segment, the premium PD array Matrix (bearish order blocks, old highs, bearish breakers, bearish mitigation blocks) becomes much more influential, leading to dynamic price action.

EXAMPLE OF STRONG REJECTION IN PREMIUM RANGE

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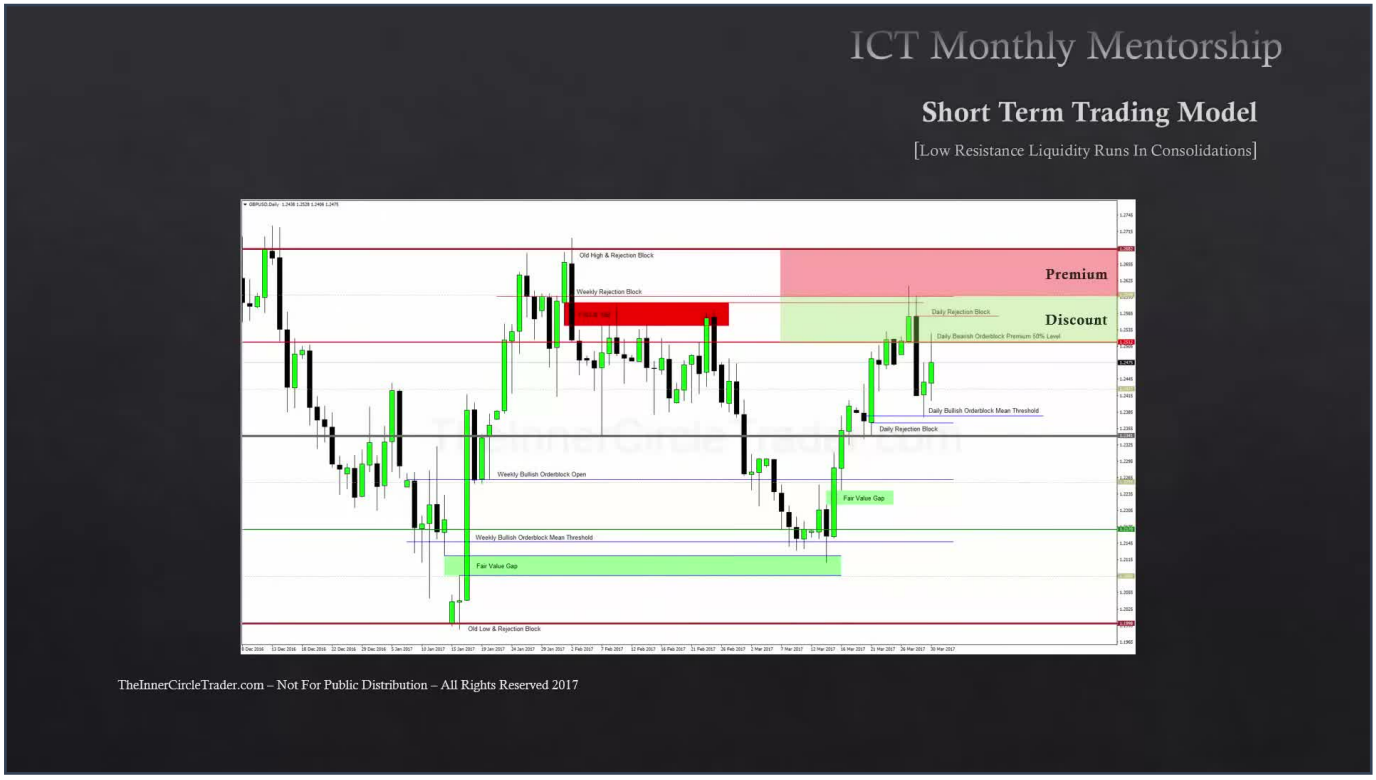
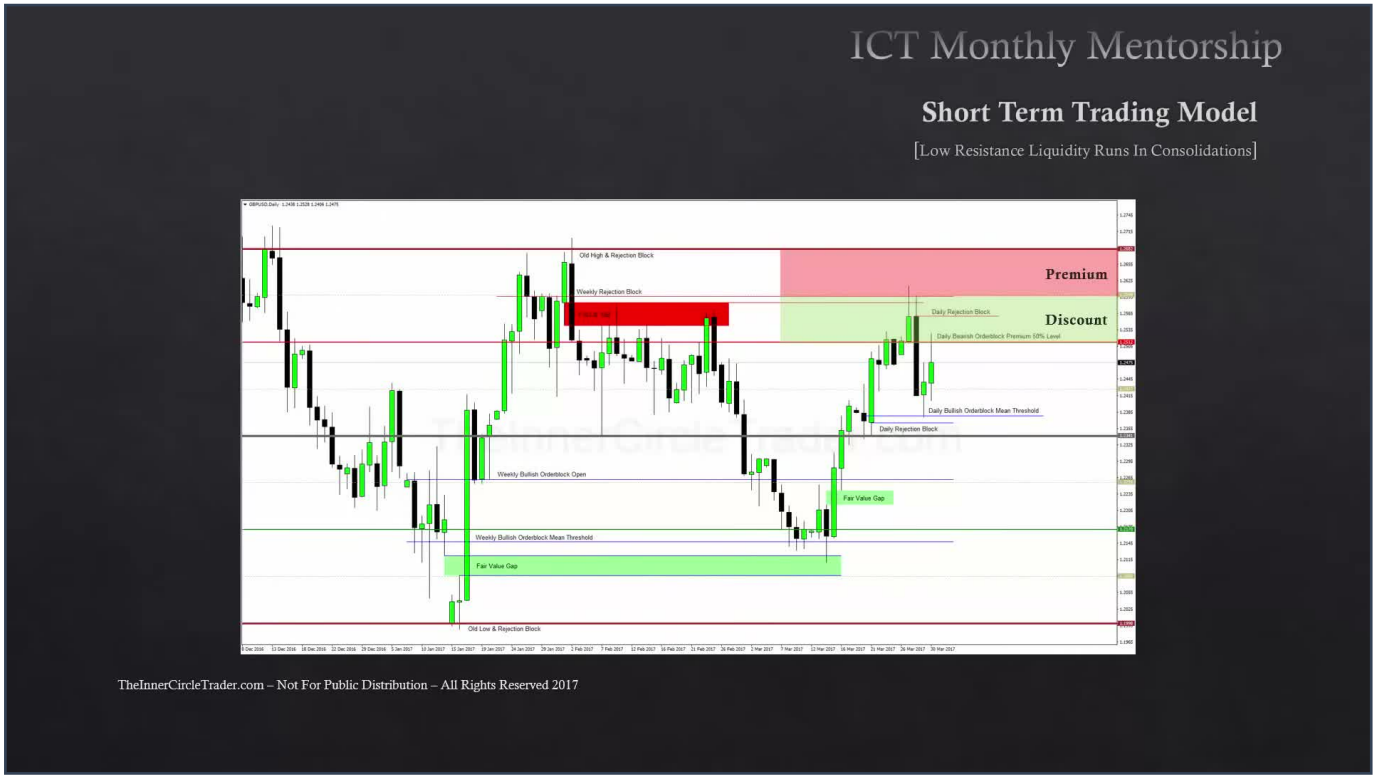


When price reaches the last smallest portion of the premium market or premium PD array Matrix (the shaded premium area), it will have a much more impactful response. For instance, a weekly rejection block, also taking out an old high (February 2017), caused a significant sell-off after hitting that final midpoint dividing premium and discount.



Following the sell-off, price traded down into a daily bullish order block mean threshold, leading to a 100-pip move. This rally then traded right back up to a daily bearish order block, overlapping with the premium 50% level, illustrating the interplay of these concepts.

IMPORTANCE OF PERSONAL STUDY AND IDENTIFYING LOW RESISTANCE LIQUIDITY RUNS

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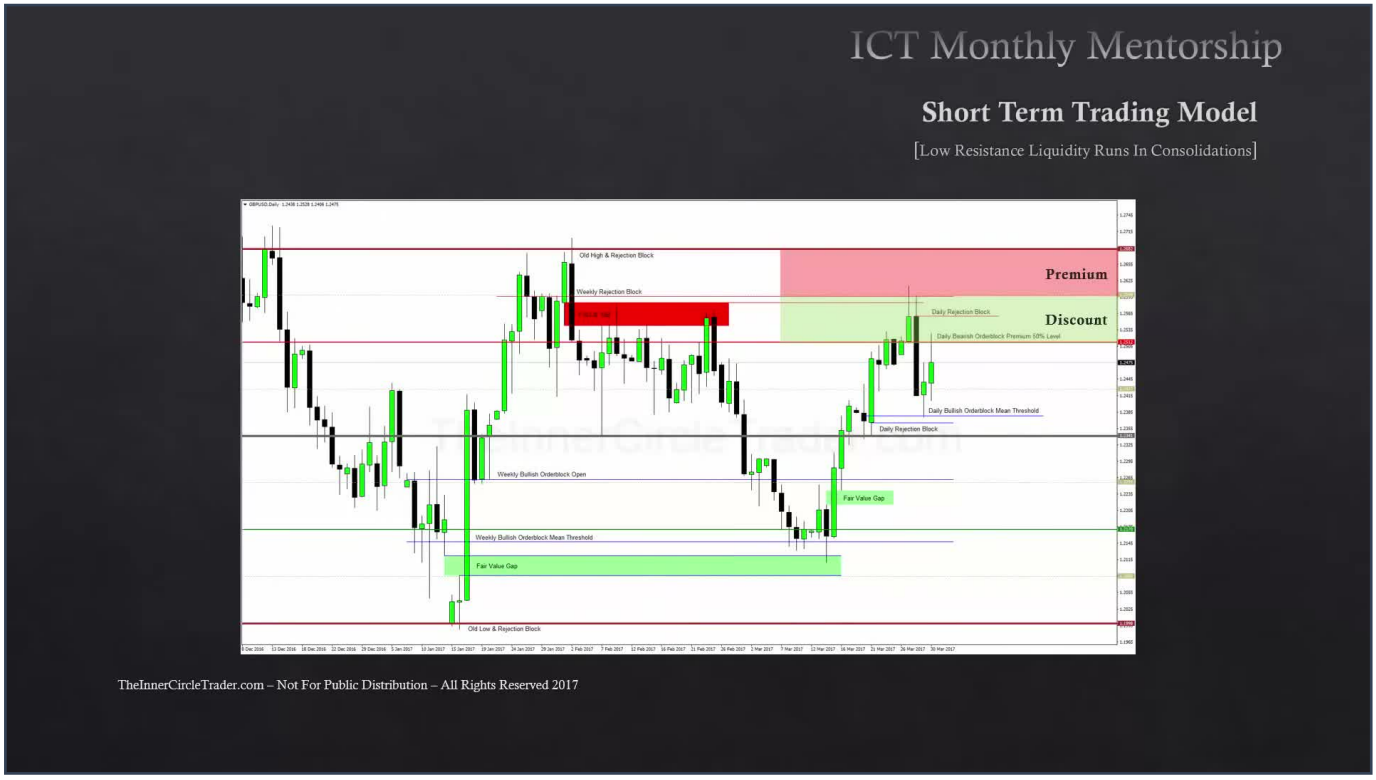
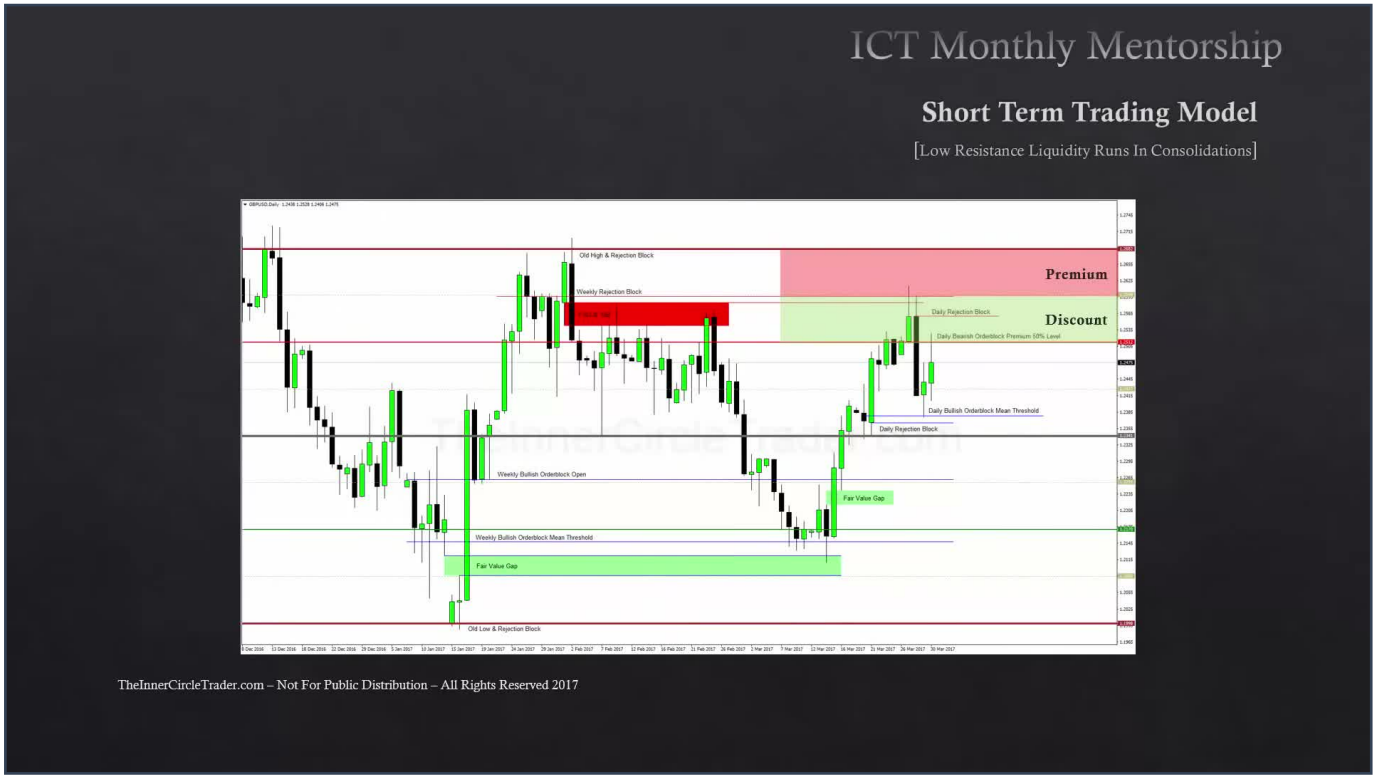


This framework requires personal study and breaking down charts. You must actively look for these opportunities. The goal is to identify low resistance liquidity runs from one PD array to another, moving from a discount to a premium. This is coupled with a look-back of the last three months, as 'one-shot, one-kill' excels within this timeframe (20, 40, and 60 trading days).

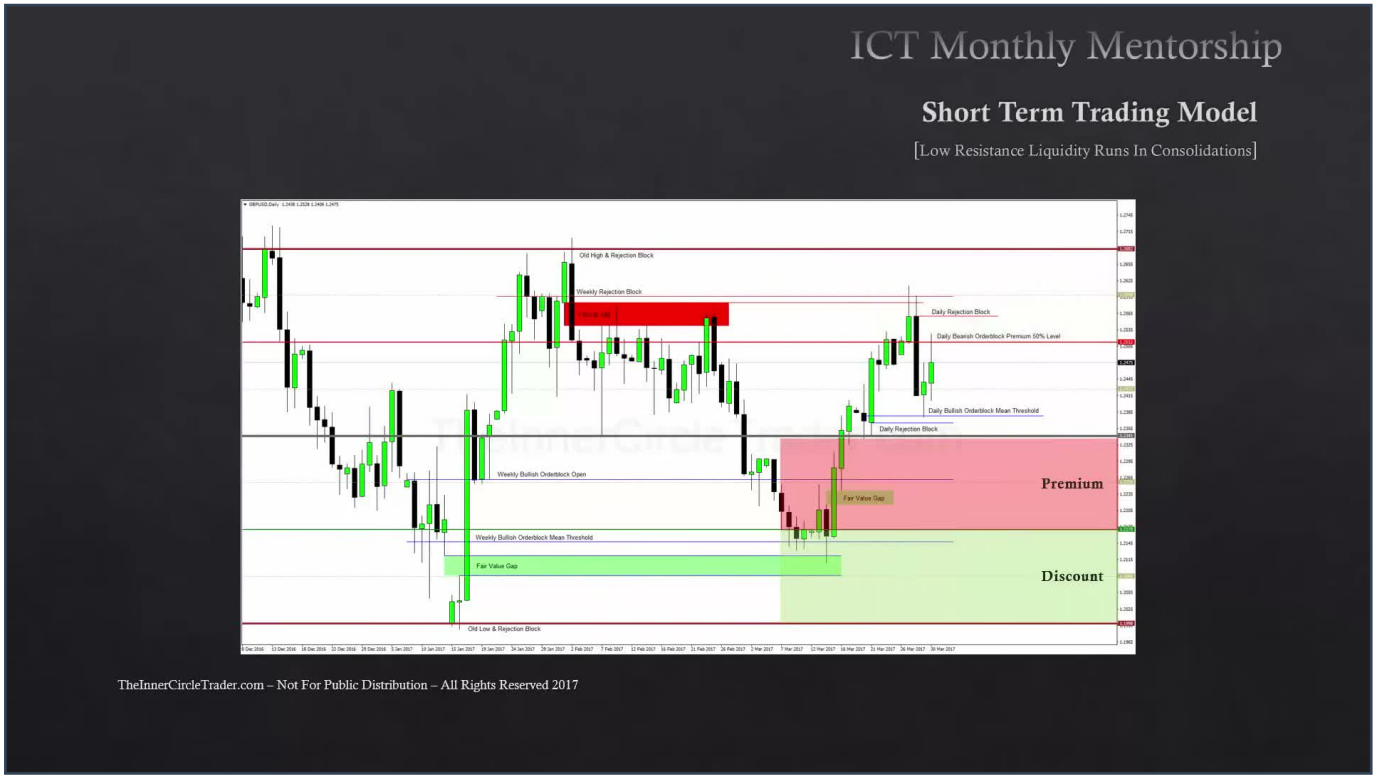


The 20, 40, and 60-day look-back periods provide the framework to determine:

- Where the premium PD array Matrix leads for selling targets.

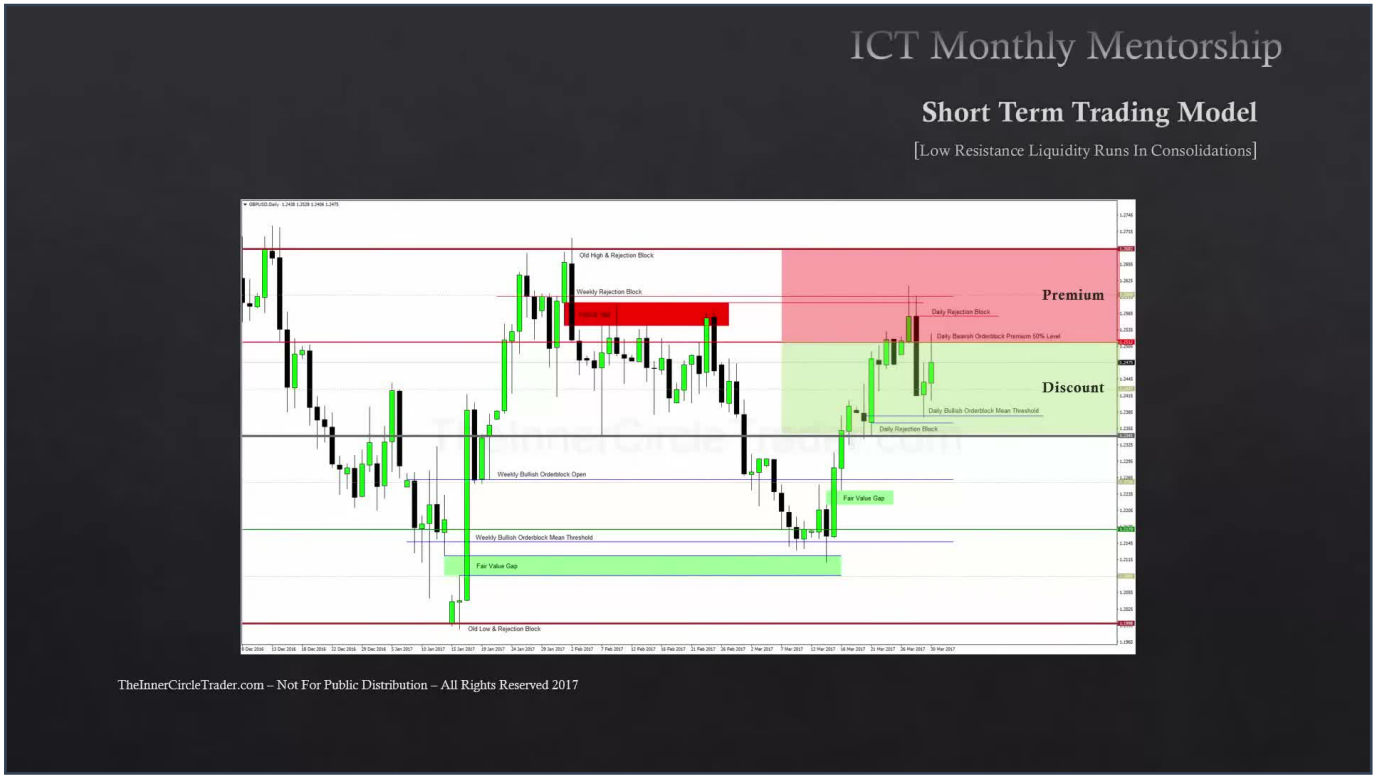
- Where discount PD array Matrix levels are for covering shorts or finding long entries and exits.

Applying these ranges (premium/discount market) builds context for entry and first objective targeting.



- Best Buys: In an ideal world, the best buys are in the lower portion or lower half of the overall consolidation, specifically in the lower quadrant (the discount Matrix).

- Highest Probability Sells or Long Exits: These are in the premium range, specifically in the upper portion (the last quadrant). This is where the algorithm will reach for selling or exiting longs.



Any long position taken in a premium range must be approached with caution, understanding the overall range. Even in an overall premium zone, if you identify a daily bullish order block mean threshold, a 100-pip rally can occur. This rally, while originating in a discount within that premium, trades up to a daily bearish order block in the premium range, providing a high probability target.

DEFINITION OF 'ONE SHOT ONE KILL'

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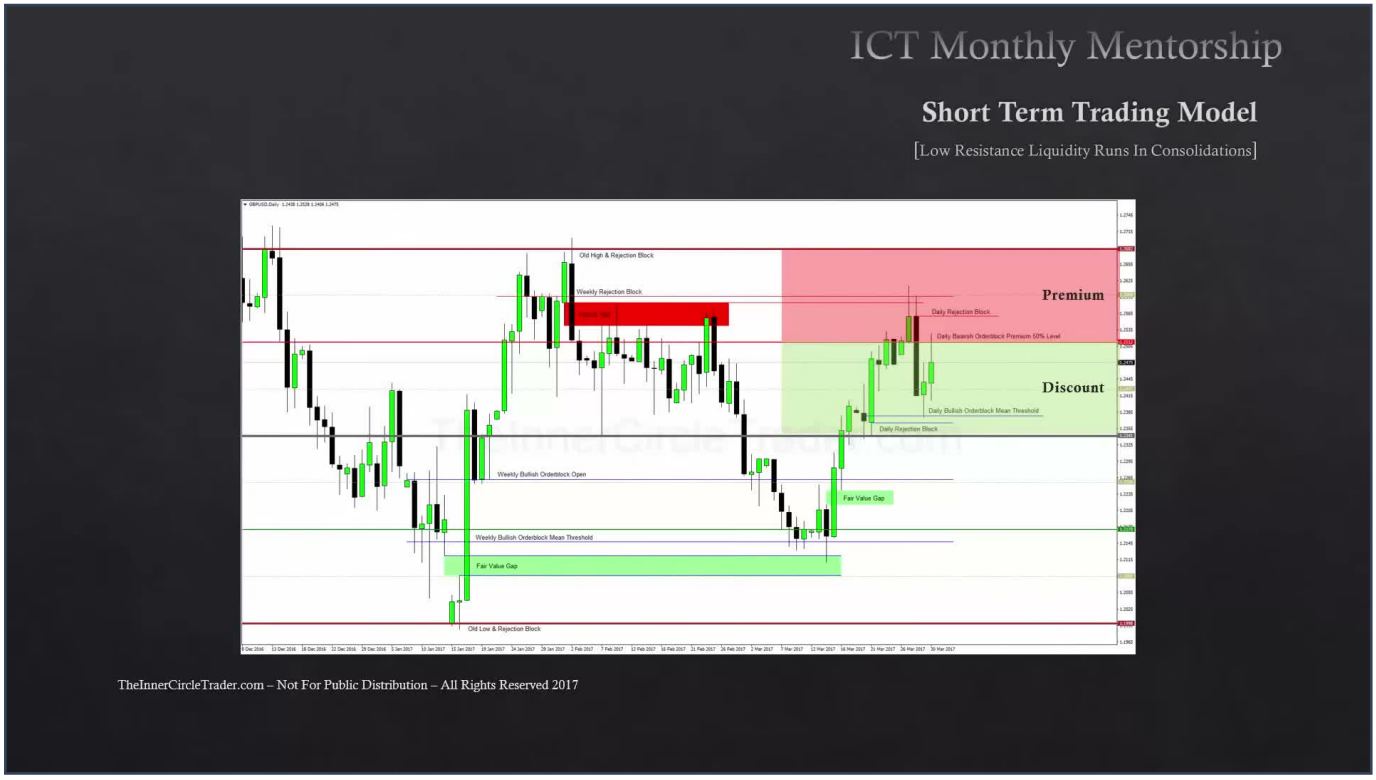
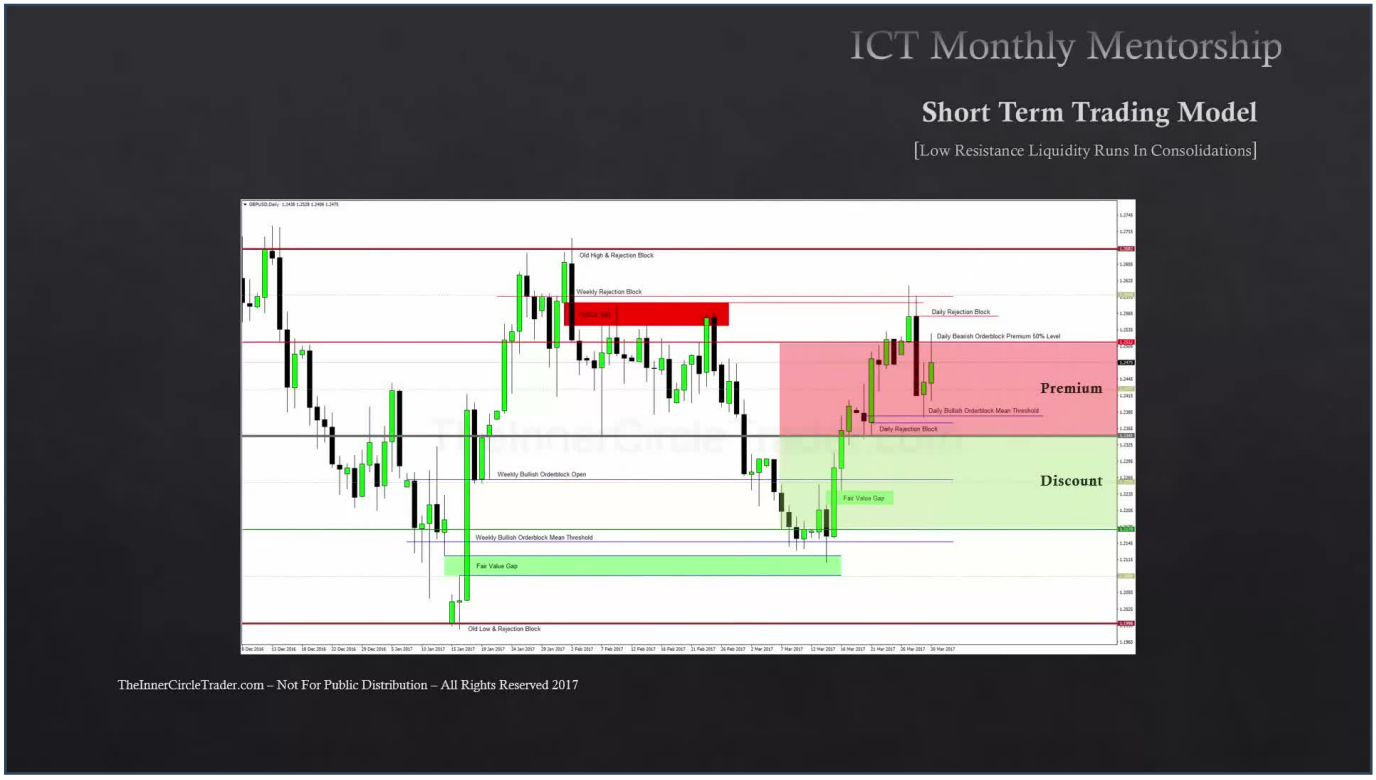


One shot one kill is not defined by getting in on a Monday and getting out on a Friday. It refers to short-term trading, which can be as little as one day and as long as a week.

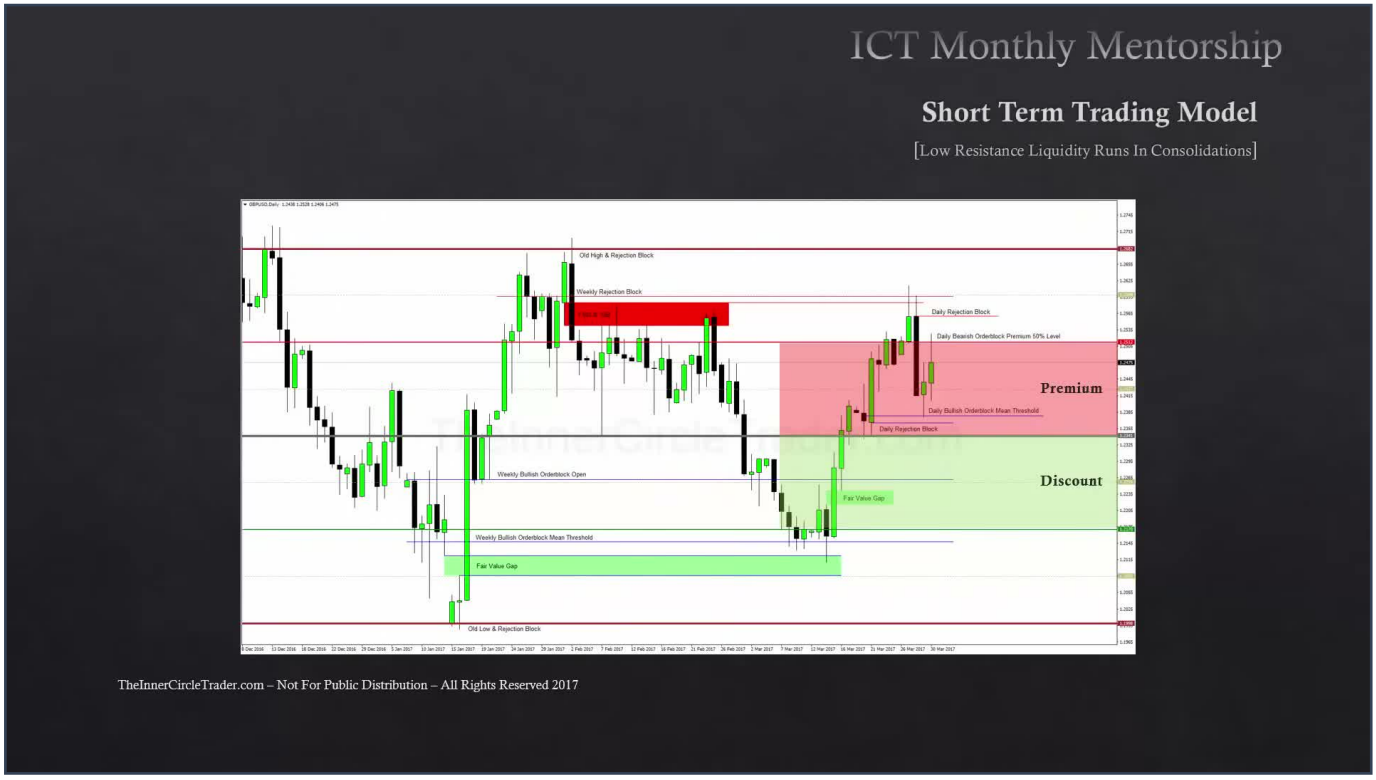


The middle range of the consolidation is where you are most likely to get 'chopped up' (experience whipsaws and losses). This happens if:

- The range is defined incorrectly.

- You are looking at premium or discount PD arrays that have already been traded to.

We want to use new PD arrays in a discount or premium market that have not been traded to. The algorithm knows when price has been there before and will seek new liquidity, expanding to allow banks to participate in a move.



- For Shorts: The higher you get up in the overall consolidation within a premium market, the better your short positions will be. It will be easier to reach for a profitable discount PD array.

- For Longs: The lower you are in the total consolidation, the better your discount long entries will be. It will be easier for you to get to a profitable premium PD array.

Blending time and price in a range environment provides context, allowing you to find very easy low resistance liquidity runs between one PD array and another.